bond as being safe as to 3% interest and unsafe as to the additional 2½%. Safety of interest is an indivisible concept and must apply to the entire interest charge, the reason being that inability to pay part of the contractual interest—or even junior interest—will result in financial difficulties. These in turn mean the destruction, at least temporarily, of the investment status.

Safety in the sense of maintenance of principal value can also be "created" by a low rate of interest, provided this rate is considered to be permanent—*i.e.*, lasting either through maturity or for a great many years in the future. If the 3% rate is permanent, the earnings of $600,000 should enable Company *A* to refund its bonds at maturity, and they should also maintain the market price of the bonds not far from par.

Allowance must be made for the fact that the rate of interest tends to vary inversely with the ability of the company to pay it. A strong company borrows at a low rate, although it could afford to pay more than could a weak company. This means that "good credit" itself produces "better credit" through its own saving in interest charges, whereas the opposite is equally true. Although this may seem paradoxical and unfair, it must be accepted as a fact in security analysis.

2. Effect of a Rise in Interest Rates on Safety. A general rise in interest rates would not affect the ability of a company to meet its interest charges during the life of its low-rate bond issue. But if they mature in a short time, it will be faced with the problem of refunding at a higher rate, to effect which its earnings must show an adequate margin above this higher rate. On the other hand, if the maturity is distant the market price of this and other bonds will decline substantially should the general rate of interest experience a considerable rise. (Note that the Dow-Jones Index of bond prices declined about 30% between 1917 and 1920, reflecting a rise in interest rates.)

It follows, therefore, that safety of principal, in the sense of maintenance of market value, is certain to be affected adversely in the case of long-term bonds by a sharp rise in the rate of interest.[11] Safety of principal of short-term debt *may* be affected adversely by such a rise in interest rates if the earnings coverage does not exceed our minimum by a comfortable margin.

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[11] An exception would be high-coupon bonds whose price had been held down by a callable feature.